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Richemont | Europe

10 Questions for Management

Following Richemont's 1Q27 results, we publish a list of 10 questions that investors catching up with management may find interesting to ask.

For an in-depth overview of the Richemont Group, see our [Richemont company primer](#) published recently.

#1 - Current trends / vol-price-mix. Group sales were up +20% CER in 1Q27 with JM +24%, SW +8% and Others +9%. Would it be fair to assume trends were robust throughout 1Q27? Did management see any noticeable acceleration in June? Have trends continued into 2Q27? Specifically on JM, we believe 1Q27 embedded ~6% pricing; how was the remainder (+18%) split between volumes and mix? What sort of trends are management seeing by income brackets and consumer segments (Gen X, Millennials, Boomers)? Has the share of new vs. existing consumers increased in the mix over the past few years? Does management believe +DD% growth this year and next could be feasible (VA Consensus currently at +9.6% and +7.2% CER in FY27 and FY28)?

#2 - Performance by cluster.

- **Chinese:** We estimate the Chinese cluster grew approx. +9% in 1Q27 (from -1/-2% in 4Q26), and despite the ~800bps easier comp this is still a +LSD% acceleration on a 2y stack. Would it be fair to assume Mainland China was down LSD% and Chinese spending abroad was up close to +30%? What explains this cluster's increased spending abroad? Overall, we believe spending by the Chinese is up by +1% CAGR since pre-covid vs. +15% for JM sales over FY20-FY26; can management elaborate on why Cartier & Van Cleef have not been successful with the Chinese cluster?
- **American:** On the US cluster specifically, how do management explain the outperformance of Richemont's maisons there so far? We estimate the American cluster was up ~+30% in 1Q27 (on a comp base of ~+15%) vs. ~+20% in 4Q26. Would management agree that the K-shape/wealth effect has been a massive driver? Have management seen trade-up from the highest income consumers? How has high jewellery performed relative to the rest of the jewellery portfolio? How much longer do management think the exceptionally strong growth in the US can last? What is management's assessment of white space opportunities in the US? Put differently, how penetrated are Cartier and Van Cleef with Americans vs. Europeans and other clienteles?
- **Koreans** should have seen the highest growth among any clusters we believe in 1Q27, would >+50% yoy be a fair assumption? How much longer can this cluster grow +DD%? How is the split of new/existing customers in Korea and how does it compare to other regions? Recently the KOSPI index has reverted a lot of its gains, have management seen a pullback in spend from Koreans in July?

MORGAN STANLEY & CO. INTERNATIONAL PLC+

Edouard Aubin

Equity Analyst

Edouard.Aubin@morganstanley.com

+44 20 7425-3160

Natasha Bonnet

Equity Analyst

Natasha.Bonnet@morganstanley.com

+44 20 7677-5723

Grace Smalley, CFA

Equity Analyst

Grace.Smalley@morganstanley.com

+44 20 7425-9629

Cedric Norest

Research Associate

Cedric.Norest@morganstanley.com

+44 20 7425-1462

Richemont SA (CFR.S, CFR SE)

Brands | Switzerland

Stock Rating	Overweight
Industry View	In-Line
Price target	SFr 200.00
Shr price, close (Jul 16, 2026)	SFr 197.40
52-Week Range	SFr 197.40- 127.20
Mkt cap, curr (mn)	€126,680
Net debt (03/27e) (mn)*	€(8,792)
EV, curr (mn)*	€118,250

* = GAAP or approximated based on GAAP

Fiscal Year Ending	03/26	03/27e	03/28e	03/29e
Sales / Revenue	22,420	24,254	26,341	28,616
(€mn)**				
EBIT (€mn)**	4,543	5,050	5,811	6,568
EPS (€)**	5.91	6.90	7.98	9.05
Prior EPS (€)**	-	-	-	-
ModelWare EPS (€)	5.91	6.90	7.98	9.05
EPS (€)\$	6.19	7.00	8.04	9.10
P/E**	25.4	31.2	26.9	23.7
EV/revenue*	3.6	4.9	4.4	4.0
EV/EBIT**	17.6	23.4	20.1	17.4
DPS (€)	3.30	3.30	3.30	3.30
Div yld (%)	2.2	1.5	1.5	1.5
FCF yld ratio (%)**	4.3	2.4	3.3	3.8
Net debt (€mn)*	(8,496)	(8,792)	(10,222)	(12,304)
RNOA (%)**	18.4	19.7	21.1	22.7
ROE (%)**	15.8	16.9	18.3	19.1

Unless otherwise noted, all metrics are based on Morgan Stanley ModelWare framework

\$ = Consensus data is provided by Refinitiv Estimates

* = GAAP or approximated based on GAAP

** = Based on consensus methodology

e = Morgan Stanley Research estimates

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#3 – Jewellery category. Over the past 12 months, as a number of talented Creative Directors recently joined leading soft luxury brands (Matthieu Blazy at Chanel, Jonathan Anderson at Dior, Demna at Gucci, etc.), a number of industry observers have predicted the "end of the Jewellery super cycle" - i.e. renewed creativity and innovation in ready-to-wear and footwear would lead to wallet shift at the expense of spending on jewellery. If anything, Western jewellery houses (including Cartier and Van Cleef, but also Bulgari, Boucheron, etc.) seem to have increased their outperformance vs soft luxury brands. How do management explain this? Since early March, the gold price is down in excess of -20%: are declining gold prices a good or a bad thing for jewellery demand (and Richemont's performance overall)?

#4 – Jewellery Maisons reported +24% YoY CER growth in 1Q27. How does performance differ by brand? Would it be fair to say that Van Cleef's overall growth rate is now likely in line with Cartier (both growing strongly at +DD%, but up until FY26, Van Cleef was growing notably faster we believe)? What keeps driving the outperformance of Richemont's two leading brands worldwide? How does JM's performance differ by product - is it fair to assume that iconic lines (Cartier Love Bracelet, Van Cleef Alhambra etc) are outperforming, thus accounting for a continuously greater share of the sales? At what point does ubiquity impact desirability? **Cartier:** in FY26, we estimate that Cartier grew approx. +13% YoY at CER, with Jewellery up c.+10% and Watches up c.+19%. Assuming growth for Cartier of approx. +22% YoY at CER, would it be fair to assume Jewellery up c.+20% and Watches up c.+26%? **Buccelatti** seems to be doing extremely well, likely experiencing very fast growth (from a small base, i.e. ~€350m sales in FY26e). Where are Buccelatti's most significant white spaces? What are management's plans over the next 3-5 years for the brand? Do management believe Buccelatti could follow the trajectory of Van Cleef in the MT/LT?

#5 – Specialist Watchmakers. Specialist Watchmakers grew +8% CER in 1Q27. Swiss Watch Export Data has been weak YTD (e.g. Swiss watch exports were down -3% YoY in value terms for the first months to May). What explains the outperformance of the SW division? Particularly, which brands are the most promising? The press release noted Vacheron Constantin, Jaeger-LeCoultre and A. Lange & Söhne standing out. Would it be fair to assume a +DD% growth rate YoY for these three brands in 1Q27? What has been done behind the scenes at these three brands that explains their strong growth in an anaemic watch market (particularly at Jaeger-LeCoultre, which was struggling up until recently)? **Bigger picture,** the division has almost consistently lost market share over the past decade (and is now smaller than Cartier Watches): how do management explain the underperformance and what makes management confident that they will start gaining share over the next three to five years? Would applying a "shrink to grow" strategy (i.e. refocus the assortment on the iconic lines) be part of the strategy?

#6 – Others. The division grew +9% CER in 1Q27, likely outperforming many soft luxury peers this quarter. What sort of sales performance are Alaïa and Chloe seeing? What about Delvaux? What are the group's plans for Peter Millar? It is arguably a lifestyle brand (rather than a luxury brand) although it is performing solidly (+DD% as noted in the press release for 1Q27).

#7 - Gross Margin: Gross margin contracted by -250 bps in FY26, one of the biggest

contractions posted by the group over the past 15 years, as Richemont was impacted by a) higher commodity costs - mostly gold where the price was up +56% in USD in FY26; b) increased US tariffs; c) adverse FX. However, stripping out FX, the contraction was 'only' -40 bps as price increases, better capacity utilization and inventory revaluation softened the blow. Assuming that gold prices are unchanged up until the end of the year, the increase in FY27 vs. FY26 would be only +2%. Should we thus assume that, excluding FX, the gross margin contraction in FY27 should be lower than the -40 bps reported in FY26? As for FX, should we assume a significantly lower impact in FY27 than in FY26 as the US dollar and the Chinese yuan have strengthened vs. the euro in recent months? VA Consensus currently assumes a contraction of -20 bps of the gross margin in FY27 to 64.2%: does it make sense?

#8 - Opex: Opex grew +1.5% in FY26, slower than sales growth of +4.8%, leading to a -140 bps contraction in opex to sales ratio. VA consensus currently assumes increased operating leverage in FY27 (opex to sales down -180 bps) as Richemont sales densities continue to improve (given that brand's sales growth significantly exceed selling space growth). Does -180 bps makes sense?

#9 – Management changes. Highly regarded Van Cleef & Arpels CEO Nicolas Bos was appointed Group CEO in May 2024. Unlike his predecessor, CEO Bos has all of Richemont's executive committee report to him directly (not the case previously with the CEOs of Cartier and VC&A or the group CFO). What changes has Mr. Bos already put in place? And might we expect more management / divisional changes to come?

#10 – Cash utilisation and M&A. As of June 2026, the company had a €9.1bn net cash position (10-year full-year range is €2.4bn to €9.1bn). What is the best use of cash in management's view? What range of dividend payout ratio should be expected going forward? What is management's policy on special dividends? **Capex.** What is the capex guidance for FY27? Can management elaborate on capex by division? **M&A.** Does the company intend to remain an industry consolidator going forward? Richemont undertook a small number of acquisitions in recent quarters (Buccellati in September 2019, Delvaux in FY22, 70% of Gianvito Rossi in FY24 for a net cash consideration of €265m, and Vhernier in FY25, for example): how likely is it that we would see any sizeable acquisitions going forward? Would the company consider acquiring a jewellery brand that has significant exposure to the natural diamond category?

Valuation Methodology and Risks

Richemont SA (CFR.S)

We use a DCF-based valuation methodology, which we think best reflects the company's margin potential and cash flow. We assume a WACC of 8.4% and long-term growth rate of 2.5%.

Risks to Upside

- If our assumption of an efficiency focus materializes, this would likely result in EPS growth.
- Cartier jewellery sales growing more than expected.

Risks to Downside

- A material slowdown in China when the US slows down presents the biggest risk to Richemont.
- Continued deterioration in the watch segment.

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(as of June 30, 2026)

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	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1544	42%	453	49%	29%	757	44%
Equal-weight/Hold	1577	43%	390	42%	25%	769	44%
Not-Rated/Hold	3	0%	1	0%	33%	1	0%
Underweight/Sell	544	15%	89	10%	16%	204	12%
Total	3,668		933			1731	

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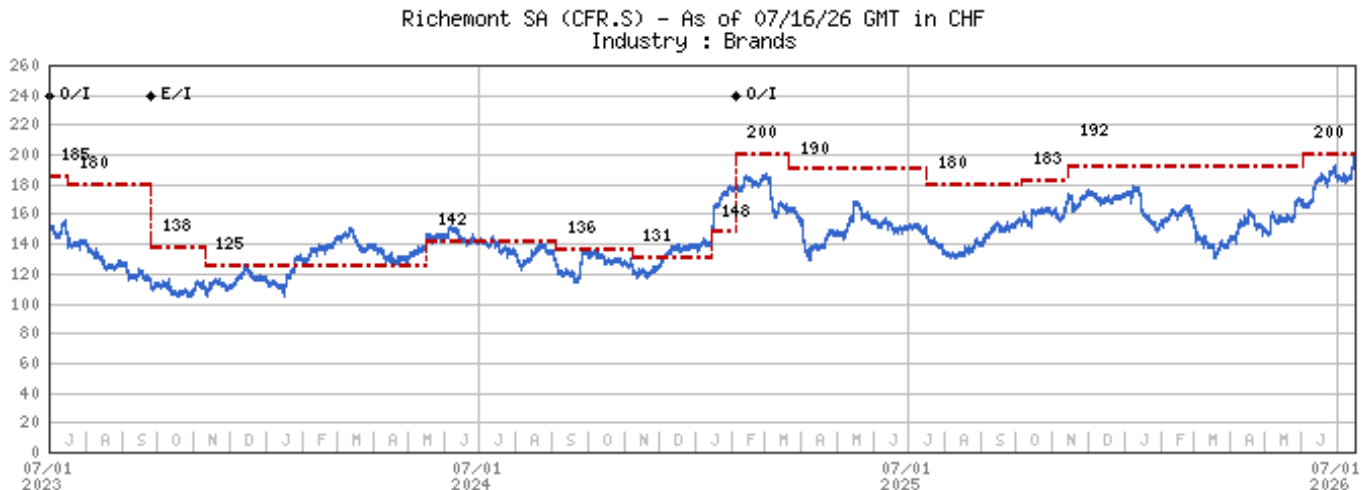
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INDUSTRY COVERAGE: Brands

COMPANY (TICKER)	RATING (AS OF)	PRICE* (07/16/2026)
Edouard Aubin		
Adidas (ADSGn.DE)	O (04/15/2024)	€182.95
Birkenstock Holding plc (BIRK.N)	E (11/06/2023)	US\$42.86
Ferrari NV (RACE.N)	O (06/15/2026)	US\$375.74
Ferrari NV (RACE.MI)	O (06/15/2026)	€334.05
Hermes International S.C.A. (HRMS.PA)	E (10/06/2025)	€1,706.00
Kering (PRT.PA)	E (04/10/2026)	€255.40
LVMH Moët Hennessy Louis Vuitton SA (LVMH.PA)	E (01/19/2026)	€503.10
Richemont SA (CFR.S)	O (02/05/2025)	SFr 197.40
Grace Smalley, CFA		
Burberry (BRBY.L)	O (05/18/2026)	1,121p
EssilorLuxottica SA (ESLX.PA)	O (07/05/2023)	€169.50
Hugo Boss AG (BOSSn.DE)	E (07/09/2024)	€37.90
Luxexperience BV (LUXE.N)	E (09/15/2023)	US\$8.06
Pandora A/S (PNDORA.CO)	E (01/16/2023)	DKr 800.60
PUMA SE (PUMG.DE)	++	€29.37
Natasha Bonnet		
Avolta AG (AVOL.S)	E (04/24/2026)	SFr 48.68
Brunello Cucinelli (BCU.MI)	O (01/27/2026)	€83.64
Ermenegildo Zegna (ZGN.N)	E (02/12/2026)	US\$13.44
Moncler SpA (MONC.MI)	E (06/22/2026)	€52.08
Prada SpA (1913.HK)	E (06/29/2026)	HK\$40.96
Salvatore Ferragamo Spa (SFER.MI)	U (02/12/2026)	€10.59

Stock Ratings are subject to change. Please see latest research for each company.

* Historical prices are not split adjusted.